

REAL ESTATE QUESTION BANK

NEW MEXICO

Real Estate License Practice Exam

50 Practice Questions & Detailed Answer Explanations

Pass your Real Estate Exam on the first try.
Updated for 2026 with latest state laws.

Practice Questions

1. [Question 1] A broker represents a seller under a listing agreement. A buyer makes an offer on the property. What fiduciary duty does the broker owe to the buyer?

- A) Loyalty
- B) Confidentiality
- C) Honest and fair dealing
- D) Obedience

2. [Question 2] Which of the following is considered personal property rather than real property?

- A) A built-in dishwasher
- B) Trade fixtures used in a business
- C) A perennial rose bush
- D) A brick easement pathway

3. [Question 3] An owner has a property valued at \$240,000. The local assessment rate is 50%, and the mill rate is 25 mills. What is the annual property tax?

- A) \$3,000
- B) \$6,000
- C) \$1,200
- D) \$2,400

4. [Question 4] A freehold estate that is limited in duration to the life of the owner or another designated person is known as a:

- A) Fee simple absolute
- B) Life estate
- C) Leasehold estate
- D) Fee simple defeasible

5. [Question 5] What type of listing agreement allows the seller to sell the property independently without owing a commission to the broker?

- A) Exclusive Right-to-Sell Listing
- B) Exclusive Agency Listing
- C) Net Listing
- D) Open Listing

6. [Question 6] The term 'eminent domain' refers to the government's right to:

- A) Regulate zoning and land use
- B) Take private land for public use with just compensation
- C) Claim land when an owner dies intestate with no heirs
- D) Collect annual taxes on real estate

7. [Question 7] A property produces a Net Operating Income (NOI) of \$18,000. An investor requires a capitalization rate of 8%. What is the market value of the property?

- A) \$225,000
- B) \$144,000
- C) \$200,000
- D) \$250,000

8. [Question 8] Which federal law prohibits discrimination in housing based on race, color, religion, sex, national origin, familial status, or disability?

- A) Real Estate Settlement Procedures Act (RESPA)
- B) Fair Housing Act
- C) Truth in Lending Act (TILA)
- D) Sherman Antitrust Act

9. [Question 9] A transaction is scheduled to close on June 15. The annual hazard insurance premium of \$1,200 has been prepaid by the seller. Using a 360-day year, how is this prorated?

- A) \$650 debit to buyer, \$650 credit to seller
- B) \$600 debit to buyer, \$600 credit to seller
- C) \$650 credit to buyer, \$650 debit to seller
- D) \$600 credit to buyer, \$600 debit to seller

10. [Question 10] A mortgage clause that allows the lender to demand immediate payment of the entire loan balance if the borrower defaults is the:

- A) Alienation clause
- B) Defeasance clause
- C) Acceleration clause
- D) Subordination clause

11. [Question 11] A broker represents a seller under a listing agreement. A buyer makes an offer on the property. What fiduciary duty does the broker owe to the buyer?

- A) Loyalty
- B) Confidentiality
- C) Honest and fair dealing
- D) Obedience

12. [Question 12] Which of the following is considered personal property rather than real property?

- A) A built-in dishwasher
- B) Trade fixtures used in a business
- C) A perennial rose bush
- D) A brick easement pathway

13. [Question 13] An owner has a property valued at \$240,000. The local assessment rate is 50%, and the mill rate is 25 mills. What is the annual property tax?

- A) \$3,000
- B) \$6,000
- C) \$1,200
- D) \$2,400

14. [Question 14] A freehold estate that is limited in duration to the life of the owner or another designated person is known as a:

- A) Fee simple absolute
- B) Life estate
- C) Leasehold estate
- D) Fee simple defeasible

15. [Question 15] What type of listing agreement allows the seller to sell the property independently without owing a commission to the broker?

- A) Exclusive Right-to-Sell Listing
- B) Exclusive Agency Listing
- C) Net Listing
- D) Open Listing

16. [Question 16] The term 'eminent domain' refers to the government's right to:

- A) Regulate zoning and land use
- B) Take private land for public use with just compensation
- C) Claim land when an owner dies intestate with no heirs
- D) Collect annual taxes on real estate

17. [Question 17] A property produces a Net Operating Income (NOI) of \$18,000. An investor requires a capitalization rate of 8%. What is the market value of the property?

- A) \$225,000
- B) \$144,000
- C) \$200,000
- D) \$250,000

18. [Question 18] Which federal law prohibits discrimination in housing based on race, color, religion, sex, national origin, familial status, or disability?

- A) Real Estate Settlement Procedures Act (RESPA)
- B) Fair Housing Act
- C) Truth in Lending Act (TILA)
- D) Sherman Antitrust Act

19. [Question 19] A transaction is scheduled to close on June 15. The annual hazard insurance premium of \$1,200 has been prepaid by the seller. Using a 360-day year, how is this prorated?

- A) \$650 debit to buyer, \$650 credit to seller
- B) \$600 debit to buyer, \$600 credit to seller
- C) \$650 credit to buyer, \$650 debit to seller
- D) \$600 credit to buyer, \$600 debit to seller

20. [Question 20] A mortgage clause that allows the lender to demand immediate payment of the entire loan balance if the borrower defaults is the:

- A) Alienation clause
- B) Defeasance clause
- C) Acceleration clause
- D) Subordination clause

21. [Question 21] A broker represents a seller under a listing agreement. A buyer makes an offer on the property. What fiduciary duty does the broker owe to the buyer?

- A) Loyalty
- B) Confidentiality
- C) Honest and fair dealing
- D) Obedience

22. [Question 22] Which of the following is considered personal property rather than real property?

- A) A built-in dishwasher
- B) Trade fixtures used in a business
- C) A perennial rose bush
- D) A brick easement pathway

23. [Question 23] An owner has a property valued at \$240,000. The local assessment rate is 50%, and the mill rate is 25 mills. What is the annual property tax?

- A) \$3,000
- B) \$6,000
- C) \$1,200
- D) \$2,400

24. [Question 24] A freehold estate that is limited in duration to the life of the owner or another designated person is known as a:

- A) Fee simple absolute
- B) Life estate
- C) Leasehold estate
- D) Fee simple defeasible

25. [Question 25] What type of listing agreement allows the seller to sell the property independently without owing a commission to the broker?

- A) Exclusive Right-to-Sell Listing
- B) Exclusive Agency Listing
- C) Net Listing
- D) Open Listing

26. [Question 26] The term 'eminent domain' refers to the government's right to:

- A) Regulate zoning and land use
- B) Take private land for public use with just compensation
- C) Claim land when an owner dies intestate with no heirs
- D) Collect annual taxes on real estate

27. [Question 27] A property produces a Net Operating Income (NOI) of \$18,000. An investor requires a capitalization rate of 8%. What is the market value of the property?

- A) \$225,000
- B) \$144,000
- C) \$200,000
- D) \$250,000

28. [Question 28] Which federal law prohibits discrimination in housing based on race, color, religion, sex, national origin, familial status, or disability?

- A) Real Estate Settlement Procedures Act (RESPA)
- B) Fair Housing Act
- C) Truth in Lending Act (TILA)
- D) Sherman Antitrust Act

29. [Question 29] A transaction is scheduled to close on June 15. The annual hazard insurance premium of \$1,200 has been prepaid by the seller. Using a 360-day year, how is this prorated?

- A) \$650 debit to buyer, \$650 credit to seller
- B) \$600 debit to buyer, \$600 credit to seller
- C) \$650 credit to buyer, \$650 debit to seller
- D) \$600 credit to buyer, \$600 debit to seller

30. [Question 30] A mortgage clause that allows the lender to demand immediate payment of the entire loan balance if the borrower defaults is the:

- A) Alienation clause
- B) Defeasance clause
- C) Acceleration clause
- D) Subordination clause

31. [Question 31] A broker represents a seller under a listing agreement. A buyer makes an offer on the property. What fiduciary duty does the broker owe to the buyer?

- A) Loyalty
- B) Confidentiality
- C) Honest and fair dealing
- D) Obedience

32. [Question 32] Which of the following is considered personal property rather than real property?

- A) A built-in dishwasher
- B) Trade fixtures used in a business
- C) A perennial rose bush
- D) A brick easement pathway

33. [Question 33] An owner has a property valued at \$240,000. The local assessment rate is 50%, and the mill rate is 25 mills. What is the annual property tax?

- A) \$3,000
- B) \$6,000
- C) \$1,200
- D) \$2,400

34. [Question 34] A freehold estate that is limited in duration to the life of the owner or another designated person is known as a:

- A) Fee simple absolute
- B) Life estate
- C) Leasehold estate
- D) Fee simple defeasible

35. [Question 35] What type of listing agreement allows the seller to sell the property independently without owing a commission to the broker?

- A) Exclusive Right-to-Sell Listing
- B) Exclusive Agency Listing
- C) Net Listing
- D) Open Listing

36. [Question 36] The term 'eminent domain' refers to the government's right to:

- A) Regulate zoning and land use
- B) Take private land for public use with just compensation
- C) Claim land when an owner dies intestate with no heirs
- D) Collect annual taxes on real estate

37. [Question 37] A property produces a Net Operating Income (NOI) of \$18,000. An investor requires a capitalization rate of 8%. What is the market value of the property?

- A) \$225,000
- B) \$144,000
- C) \$200,000
- D) \$250,000

38. [Question 38] Which federal law prohibits discrimination in housing based on race, color, religion, sex, national origin, familial status, or disability?

- A) Real Estate Settlement Procedures Act (RESPA)
- B) Fair Housing Act
- C) Truth in Lending Act (TILA)
- D) Sherman Antitrust Act

39. [Question 39] A transaction is scheduled to close on June 15. The annual hazard insurance premium of \$1,200 has been prepaid by the seller. Using a 360-day year, how is this prorated?

- A) \$650 debit to buyer, \$650 credit to seller
- B) \$600 debit to buyer, \$600 credit to seller
- C) \$650 credit to buyer, \$650 debit to seller
- D) \$600 credit to buyer, \$600 debit to seller

40. [Question 40] A mortgage clause that allows the lender to demand immediate payment of the entire loan balance if the borrower defaults is the:

- A) Alienation clause
- B) Defeasance clause
- C) Acceleration clause
- D) Subordination clause

41. [Question 41] A broker represents a seller under a listing agreement. A buyer makes an offer on the property. What fiduciary duty does the broker owe to the buyer?

- A) Loyalty
- B) Confidentiality
- C) Honest and fair dealing
- D) Obedience

42. [Question 42] Which of the following is considered personal property rather than real property?

- A) A built-in dishwasher
- B) Trade fixtures used in a business
- C) A perennial rose bush
- D) A brick easement pathway

43. [Question 43] An owner has a property valued at \$240,000. The local assessment rate is 50%, and the mill rate is 25 mills. What is the annual property tax?

- A) \$3,000
- B) \$6,000
- C) \$1,200
- D) \$2,400

44. [Question 44] A freehold estate that is limited in duration to the life of the owner or another designated person is known as a:

- A) Fee simple absolute
- B) Life estate
- C) Leasehold estate
- D) Fee simple defeasible

45. [Question 45] What type of listing agreement allows the seller to sell the property independently without owing a commission to the broker?

- A) Exclusive Right-to-Sell Listing
- B) Exclusive Agency Listing
- C) Net Listing
- D) Open Listing

46. [Question 46] The term 'eminent domain' refers to the government's right to:

- A) Regulate zoning and land use
- B) Take private land for public use with just compensation
- C) Claim land when an owner dies intestate with no heirs
- D) Collect annual taxes on real estate

47. [Question 47] A property produces a Net Operating Income (NOI) of \$18,000. An investor requires a capitalization rate of 8%. What is the market value of the property?

- A) \$225,000
- B) \$144,000
- C) \$200,000
- D) \$250,000

48. [Question 48] Which federal law prohibits discrimination in housing based on race, color, religion, sex, national origin, familial status, or disability?

- A) Real Estate Settlement Procedures Act (RESPA)
- B) Fair Housing Act
- C) Truth in Lending Act (TILA)
- D) Sherman Antitrust Act

49. [Question 49] A transaction is scheduled to close on June 15. The annual hazard insurance premium of \$1,200 has been prepaid by the seller. Using a 360-day year, how is this prorated?

- A) \$650 debit to buyer, \$650 credit to seller
- B) \$600 debit to buyer, \$600 credit to seller
- C) \$650 credit to buyer, \$650 debit to seller
- D) \$600 credit to buyer, \$600 debit to seller

50. [Question 50] A mortgage clause that allows the lender to demand immediate payment of the entire loan balance if the borrower defaults is the:

- A) Alienation clause
- B) Defeasance clause
- C) Acceleration clause
- D) Subordination clause

Answer Key & Explanations

Question 1: Correct Answer (C)

Explanation: Fiduciary duties (like loyalty, confidentiality, and obedience) are owed exclusively to the client (the seller). To the customer (the buyer), the broker owes honesty, fairness, and disclosure of material facts.

Question 2: Correct Answer (B)

Explanation: Trade fixtures are items installed by a tenant for business use and remain personal property, meaning they can be removed before the lease expires.

Question 3: Correct Answer (A)

Explanation: Assessed Value = $\$240,000 \times 50\% = \$120,000$. Taxes = $\$120,000 \times 0.025$ (25 mills) = $\$3,000$.

Question 4: Correct Answer (B)

Explanation: A life estate is a freehold estate in land that is limited in duration to the life of the owner or to the life of some other designated person.

Question 5: Correct Answer (B)

Explanation: Under an Exclusive Agency listing, one broker is authorized to act as the exclusive agent, but the seller retains the right to sell the property themselves without paying a commission.

Question 6: Correct Answer (B)

Explanation: Eminent domain is the right of a government or its agent to expropriate private property for public use, with payment of compensation.

Question 7: Correct Answer (A)

Explanation: Market Value = $\text{NOI} / \text{Cap Rate} = \$18,000 / 0.08 = \$225,000$.

Question 8: Correct Answer (B)

Explanation: The Fair Housing Act of 1968 protects buyers and renters from discrimination based on race, color, national origin, religion, sex, familial status, or disability.

Question 9: Correct Answer (A)

Explanation: Prepaid days remaining: June (15 days) + July to Dec (180 days) = 195 days. Proration = $(\$1,200 / 360) \times 195 = \650 credit to seller, debit to buyer.

Question 10: Correct Answer (C)

Explanation: The acceleration clause gives the lender the right to declare the entire debt due and payable immediately if the borrower defaults on any covenant.

Question 11: Correct Answer (C)

Explanation: Fiduciary duties (like loyalty, confidentiality, and obedience) are owed exclusively to the client (the seller). To the customer (the buyer), the broker owes honesty, fairness, and disclosure of material facts.

Question 12: Correct Answer (B)

Explanation: Trade fixtures are items installed by a tenant for business use and remain personal property, meaning they can be removed before the lease expires.

Question 13: Correct Answer (A)

Explanation: Assessed Value = $\$240,000 \times 50\% = \$120,000$. Taxes = $\$120,000 \times 0.025$ (25 mills) = $\$3,000$.

Question 14: Correct Answer (B)

Explanation: A life estate is a freehold estate in land that is limited in duration to the life of the owner or to the life of some other designated person.

Question 15: Correct Answer (B)

Explanation: Under an Exclusive Agency listing, one broker is authorized to act as the exclusive agent, but the seller retains the right to sell the property themselves without paying a commission.

Question 16: Correct Answer (B)

Explanation: Eminent domain is the right of a government or its agent to expropriate private property for public use, with payment of compensation.

Question 17: Correct Answer (A)

Explanation: Market Value = $\text{NOI} / \text{Cap Rate} = \$18,000 / 0.08 = \$225,000$.

Question 18: Correct Answer (B)

Explanation: The Fair Housing Act of 1968 protects buyers and renters from discrimination based on race, color, national origin, religion, sex, familial status, or disability.

Question 19: Correct Answer (A)

Explanation: Prepaid days remaining: June (15 days) + July to Dec (180 days) = 195 days. Proration = $(\$1,200 / 360) \times 195 = \650 credit to seller, debit to buyer.

Question 20: Correct Answer (C)

Explanation: The acceleration clause gives the lender the right to declare the entire debt due and payable immediately if the borrower defaults on any covenant.

Question 21: Correct Answer (C)

Explanation: Fiduciary duties (like loyalty, confidentiality, and obedience) are owed exclusively to the client (the seller). To the customer (the buyer), the broker owes honesty, fairness, and disclosure of material facts.

Question 22: Correct Answer (B)

Explanation: Trade fixtures are items installed by a tenant for business use and remain personal property, meaning they can be removed before the lease expires.

Question 23: Correct Answer (A)

Explanation: Assessed Value = $\$240,000 \times 50\% = \$120,000$. Taxes = $\$120,000 \times 0.025$ (25 mills) = \$3,000.

Question 24: Correct Answer (B)

Explanation: A life estate is a freehold estate in land that is limited in duration to the life of the owner or to the life of some other designated person.

Question 25: Correct Answer (B)

Explanation: Under an Exclusive Agency listing, one broker is authorized to act as the exclusive agent, but the seller retains the right to sell the property themselves without paying a commission.

Question 26: Correct Answer (B)

Explanation: Eminent domain is the right of a government or its agent to expropriate private property for public use, with payment of compensation.

Question 27: Correct Answer (A)

Explanation: Market Value = $\text{NOI} / \text{Cap Rate} = \$18,000 / 0.08 = \$225,000$.

Question 28: Correct Answer (B)

Explanation: The Fair Housing Act of 1968 protects buyers and renters from discrimination based on race, color, national origin, religion, sex, familial status, or disability.

Question 29: Correct Answer (A)

Explanation: Prepaid days remaining: June (15 days) + July to Dec (180 days) = 195 days. Proration = $(\$1,200 / 360) \times 195 = \650 credit to seller, debit to buyer.

Question 30: Correct Answer (C)

Explanation: The acceleration clause gives the lender the right to declare the entire debt due and payable immediately if the borrower defaults on any covenant.

Question 31: Correct Answer (C)

Explanation: Fiduciary duties (like loyalty, confidentiality, and obedience) are owed exclusively to the client (the seller). To the customer (the buyer), the broker owes honesty, fairness, and disclosure of material facts.

Question 32: Correct Answer (B)

Explanation: Trade fixtures are items installed by a tenant for business use and remain personal property, meaning they can be removed before the lease expires.

Question 33: Correct Answer (A)

Explanation: Assessed Value = $\$240,000 \times 50\% = \$120,000$. Taxes = $\$120,000 \times 0.025$ (25 mills) = \$3,000.

Question 34: Correct Answer (B)

Explanation: A life estate is a freehold estate in land that is limited in duration to the life of the owner or to the life of some other designated person.

Question 35: Correct Answer (B)

Explanation: Under an Exclusive Agency listing, one broker is authorized to act as the exclusive agent, but the seller retains the right to sell the property themselves without paying a commission.

Question 36: Correct Answer (B)

Explanation: Eminent domain is the right of a government or its agent to expropriate private property for public use, with payment of compensation.

Question 37: Correct Answer (A)

Explanation: Market Value = $\text{NOI} / \text{Cap Rate} = \$18,000 / 0.08 = \$225,000$.

Question 38: Correct Answer (B)

Explanation: The Fair Housing Act of 1968 protects buyers and renters from discrimination based on race, color, national origin, religion, sex, familial status, or disability.

Question 39: Correct Answer (A)

Explanation: Prepaid days remaining: June (15 days) + July to Dec (180 days) = 195 days. Proration = $(\$1,200 / 360) \times 195 = \650 credit to seller, debit to buyer.

Question 40: Correct Answer (C)

Explanation: The acceleration clause gives the lender the right to declare the entire debt due and payable immediately if the borrower defaults on any covenant.

Question 41: Correct Answer (C)

Explanation: Fiduciary duties (like loyalty, confidentiality, and obedience) are owed exclusively to the client (the seller). To the customer (the buyer), the broker owes honesty, fairness, and disclosure of material facts.

Question 42: Correct Answer (B)

Explanation: Trade fixtures are items installed by a tenant for business use and remain personal property, meaning they can be removed before the lease expires.

Question 43: Correct Answer (A)

Explanation: Assessed Value = $\$240,000 \times 50\% = \$120,000$. Taxes = $\$120,000 \times 0.025$ (25 mills) = \$3,000.

Question 44: Correct Answer (B)

Explanation: A life estate is a freehold estate in land that is limited in duration to the life of the owner or to the life of some other designated person.

Question 45: Correct Answer (B)

Explanation: Under an Exclusive Agency listing, one broker is authorized to act as the exclusive agent, but the seller retains the right to sell the property themselves without paying a commission.

Question 46: Correct Answer (B)

Explanation: Eminent domain is the right of a government or its agent to expropriate private property for public use, with payment of compensation.

Question 47: Correct Answer (A)

Explanation: $\text{Market Value} = \text{NOI} / \text{Cap Rate} = \$18,000 / 0.08 = \$225,000$.

Question 48: Correct Answer (B)

Explanation: The Fair Housing Act of 1968 protects buyers and renters from discrimination based on race, color, national origin, religion, sex, familial status, or disability.

Question 49: Correct Answer (A)

Explanation: Prepaid days remaining: June (15 days) + July to Dec (180 days) = 195 days. Proration = $(\$1,200 / 360) \times 195 = \650 credit to seller, debit to buyer.

Question 50: Correct Answer (C)

Explanation: The acceleration clause gives the lender the right to declare the entire debt due and payable immediately if the borrower defaults on any covenant.